

Brussels, October 18 – The European Data Protection Board (EDPB) and the European Data Protection Supervisor (EDPS) have published a joint opinion on the proposal for a Regulation on the digital euro as a central bank digital currency. The digital euro aims to provide individuals with the ability to make electronic payments, both online and offline, as an additional means of payment alongside cash.

The European Data Protection Board and the European Data Protection Supervisor confirm that the proposal for the Regulation addresses many aspects of data protection related to the digital euro, particularly addressing the issue of offline processing of personal data to minimize the processing of personal data. Specifically, the European Data Protection Board and the European Data Protection Supervisor strongly welcome the fact that users of the digital euro will always have the option to pay with the digital euro or in cash.

At the same time, the European Data Protection Board and the European Data Protection Supervisor provide several recommendations to better ensure the highest standards of personal data protection and privacy for the future digital euro.

The European Data Protection Supervisor, Wojciech Wiewiórowski, stated: “We welcome and support the intention in the proposal for the Regulation to ensure high data protection standards for the use of the digital euro online, and an even higher level of protection for offline use of the digital euro. In our joint opinion, we propose further improvements to ensure that privacy and personal data protection rights are effectively safeguarded. Specifically, we provide recommendations to ensure that only necessary personal data of digital euro users are processed and to avoid excessive centralization of personal data by the European Central Bank (ECB) or national central banks.”

The Vice-Chair of the European Data Protection Board, Irene Loizidou Nicolaidou, stated: “A high standard of privacy and data protection is crucial for gaining citizens' trust in this new digital currency. With this joint opinion, we aim to ensure that data protection is built in from the design phase of the digital euro, both when used online and offline, and to clearly define the data protection responsibilities of each participant involved in the issuance of the digital euro as established in the Regulation.”

According to the proposal for the Regulation, the European Central Bank and national central banks may establish a single access point to verify that the amount of digital euros held by users does not exceed the maximum allowable amount, known as the holding limit. The European Data Protection Board and the European Data Protection Supervisor understand that this verification will be carried out by processing the identifiers of digital euro users and their associated holding limits. In their joint opinion, the European Data Protection Board and the European Data Protection Supervisor seek clarifications regarding the processing of these identifiers.

Furthermore, the European Data Protection Board and the European Data Protection Supervisor recommend assessing whether the single access point is necessary and proportionate, emphasizing that technical measures enabling decentralized storage of these identifiers are feasible as an alternative.

Regarding the fraud detection and prevention mechanism (FDPM) included in the proposal for the Regulation, the European Data Protection Board and the European Data Protection Supervisor believe that there is a lack of predictability. In their opinion, the processing of personal data within the mentioned mechanism by the European Central Bank and payment service providers (PSPs) is not clearly defined. The European Data Protection Board and the European Data Protection Supervisor recommend that the need for the fraud detection and prevention mechanism be further substantiated. In the absence of such evidence, the European Data Protection Board and the European Data Protection Supervisor recommend considering less invasive measures concerning data protection.

Additionally, the European Data Protection Board and the European Data Protection Supervisor recommend that the roles and responsibilities of the European Central Bank, national central banks, and payment service providers be defined in this context, in accordance with key data protection principles.

Moreover, the European Data Protection Board and the European Data Protection Supervisor strongly propose the introduction of a 'privacy threshold' for online transactions, under which neither low-value offline transactions nor low-value online transactions are monitored for the purpose of preventing money laundering and combating the financing of terrorism. To reduce the risk profile for preventing money laundering and financing terrorism for online digital transactions in euros, the European Data Protection Board and the European Data Protection Supervisor recommend that the obligation to implement appropriate technical measures be implied during the design phase of the digital euro.

Finally, the European Data Protection Board and the European Data Protection Supervisor emphasize that the proposal for the Regulation should further clarify the responsibilities of the European Central Bank and payment service providers regarding data protection. This includes the legal bases on which the European Central Bank and the payment service provider should rely, as well as the types of personal data they should process for the issuance, distribution, and use of the digital euro.

The European Data Protection Board and the European Data Protection Supervisor will continue to monitor and publish guidelines on the development of the proposal for this Regulation in accordance with their responsibilities.